

Retail Customer Analysis

Phase 4 — Customer Segmentation (RFM)

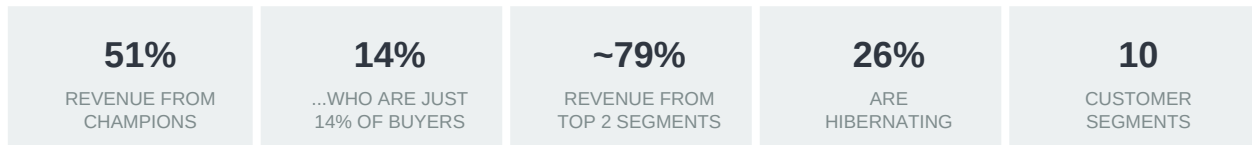
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Overview

This phase divides the 5,852 customers into actionable groups using RFM analysis, which scores each customer on how recently they bought, how often, and how much they spend. Customers are first ranked one-to-five on each measure, then grouped into named segments — Champions, Loyal, At Risk, Hibernating and others — that tell the business who to reward, who to win back, and where the revenue truly comes from.

Results at a Glance



Key Findings

1. A small group of Champions drives over half of all revenue.

Champions are just 14% of customers but generate 51% of revenue. They buy often (around 19 orders each), spend the most, and bought very recently. Protecting and rewarding this group is the highest priority.

2. The top two segments produce nearly four-fifths of revenue.

Champions and Loyal Customers together are about a third of the base but roughly 79% of revenue — a classic concentration where a minority of customers sustains the business.

3. The largest group by headcount contributes almost nothing.

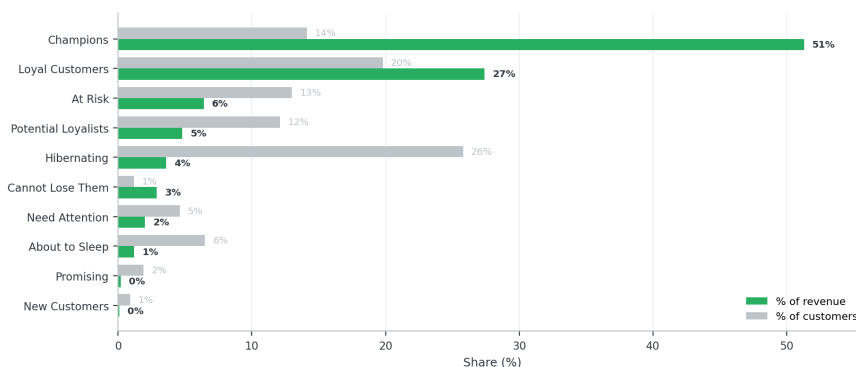
Hibernating customers are the biggest segment at 26% of the base, yet only 3.6% of revenue. They bought once long ago and have not returned — consistent with the low repeat-purchase rate found in Phase 3.

4. Clear win-back and growth targets emerge.

'At Risk' and 'Cannot Lose Them' customers once spent heavily but have gone quiet — prime targets for re-engagement — while 'Potential Loyalists' are recent buyers worth nurturing toward loyalty.

Where the Value Is

Each segment's share of customers versus its share of revenue — the gap shows which groups punch above their weight.



What's Next — Phase 5

Phase 5 estimates Customer Lifetime Value, using probabilistic models to predict how many future purchases each customer is likely to make and how much they will be worth — turning today's segments into a forward-looking view of future value.